DESIGNING BEAUTY

for people and the planet



2022 sustainability report | executive summary

smeg

Through this Executive Summary, we wish to demonstrate our firm commitment to sustainability.

AN ONGOING COMMITMENT TO THE FUTURE WE HAVE IN COMMON

Dear Readers,

The climate emergency that we are experiencing, as well as the social demands for equality and inclusion, require a concrete and concerted effort from all of us: institutions, individuals and businesses.

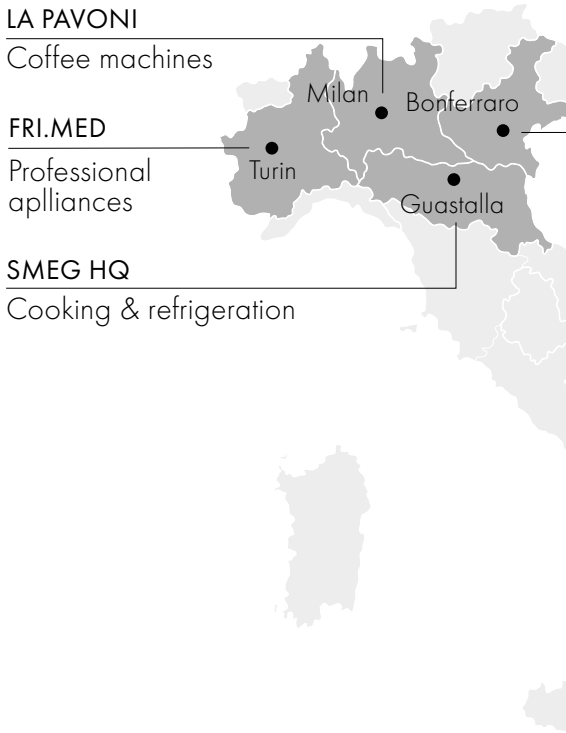
Driven by the desire to do our part, we shall continue on this path of sustainability, trying to inspire and involve as many people as possible in achieving the United Nations' 2030 Agenda for Sustainable Development.

Chief Executive Officer
Vittorio Bertazzoni

TECHNOLOGY WITH STYLE: A VOCATION FOR QUALITY

For over 70 years, our **domestic appliances** have translated the needs of **contemporary living** into sober, elegant lines.

Innovative and with an unmistakeable design, they are the result of close collaborative projects undertaken with world-famous architects and designers and a constant focus on **cutting-edge industrial design**.



Being Smeg: what does this mean?

TECHNOLOGY WITH STYLE

The most advanced technologies behind the aesthetics

CREATIONS, NOT MERE PRODUCTS

Technology and beauty combined in objects conceived to last over time

A global company

Vision, intuition, an international scope: the excellence of Made in Italy in the world



Our products

DOMESTIC DIVISION

Major and small domestic appliances

SMEG FOODSERVICE

Appliances for the food service industry

SMEG INSTRUMENTS

Instruments for washing and disinfection in laboratories, hospitals and dental clinics

SUSTAINABILITY FOR US

Technology, innovation, quality: **what we do** reflects our **ambitions**.

We want to make **people's** lives simpler with the beauty and refinement of **domestic appliances** designed for **everyday** and long-lasting use.

Our commitment to the 2030 Agenda

Priority SDGs



SDGs on which it is possible to have a direct/indirect impact



Essential in order to achieve the other SDGs



The commitments to sustainable development

IDENTITY AND GOVERNANCE

- Integration of sustainability in the business
- Ethics, integrity and compliance

PRODUCT RESPONSIBILITY

- Product safety and quality
- Energy efficiency of products
- Eco-design

SOCIAL RESPONSIBILITY

- Talent attraction, retention and development
- Safeguarding human rights
- Occupational health and safety
- Diversity and equal opportunity

ENVIRONMENTAL RESPONSIBILITY

- Action for the climate
- Waste management
- Sustainability and efficiency in the use of raw materials
- Energy impact on production sites

ECONOMIC RESPONSIBILITY

- Research and innovation

Our mission

To produce appliances that combine user safety, high technological content, and sophisticated and innovative design while respecting the environment and the health and safety of workers.

TRANSPARENT, ETHICAL AND ATTENTIVE TO THE FUTURE

The management of a business that creates shared value

We have ambitious, long-term growth horizons. Every day, we give substance to a sustainable development strategy that combines economic objectives and the quest for a positive impact on those around us. We want to be promoters of a shared growth with our stakeholders because we recognise the profound responsibility we have towards society.

The challenges we are facing

- Ethics, integrity and compliance
- Safeguarding human rights
- Research and innovation
- Responsible supply chain management

The goals reached

- 50% of the members of the BoD actively participate in sustainability initiatives
- Second time participating in the CDP Climate Change questionnaire, obtaining the score C – Awareness
- Implementation of the Code of Ethics, Model 231, and Speak Up and Whistleblowing Policy
- 55% of suppliers are based in Italy
- Donations to non-profit organisations, voluntary, cultural and sporting associations in the region

Economic value generated by the Group and distributed to the main categorie of stakeholders (2022)

Economic value distributed

89%

- 78% suppliers
- 16% collaborators
- 3% public adminsitration
- 2% other

Economic value retained

11%



WE TAKE CARE OF PEOPLE'S LIVES STARTING WITH THE DETAILS

Our dedication to people's needs starts within, by creating a safe and harmonious working environment, and reaches out to the communities in which we operate. We actively participate in economic progress, increasing the well-being and the protection of the areas in which we move.

The challenges we are facing

- Talent attraction, retention and development
- Safeguarding human rights
- Occupational health and safety
- Diversity and equal opportunity

The Smeg Group employs a total of 2,422 people (+4% compared to 2021), 97% of which have a permanent, open-ended contract (+4% compared to 2021)

The goals reached

- In 2022, the Smeg Group employed 373 new staff (+38% compared to 2021)
- 160 women were hired in 2022 for 54% of White Collars (+32% compared to 2021)
- 14,912 hours of training provided (6.16 hours of training, on average, per head)
- HR portal dedicated to corporate welfare, with dedicated employee conventions and reimbursements
- Growth in job applications from women with reference to STEM subjects (management, mechanical and electronic engineering)
- 111% total female/male remuneration ratio at Smeg S.p.A.
- Collaboration with Lilt (the Italian League for the Fight against Cancer) to make **free screening** courses available to employees in the company



CONTINUOUS IMPROVEMENT TO SAFEGUARD THE PLANET'S RESOURCES

The commitment to protect and preserve the environment has deep roots in our corporate culture. This dedication translates into a detailed analysis of the effects produced, with a continuous focus on improvement: both in optimising the consumption of resources - materials, energy and water - and in the considered and responsible management of waste.

The challenges we are facing

- Action for the climate
- Waste
- Energy impact on production sites

The goals reached

- -9% energy consumed compared to 2021
- -26% Scope 3 emissions compared to 2021
- 229.11 ton CO_2eq avoided, thanks to the use of photovoltaic systems (+40% compared to 2021)
- € 3.8 million in product and process investments to reduce environmental impacts
- 72% electricity from renewable sources
- LCA Major and Small Domestic Appliance Packaging together with the Politecnico di Milano

CDP Climate Change 2022: improving corporate performance

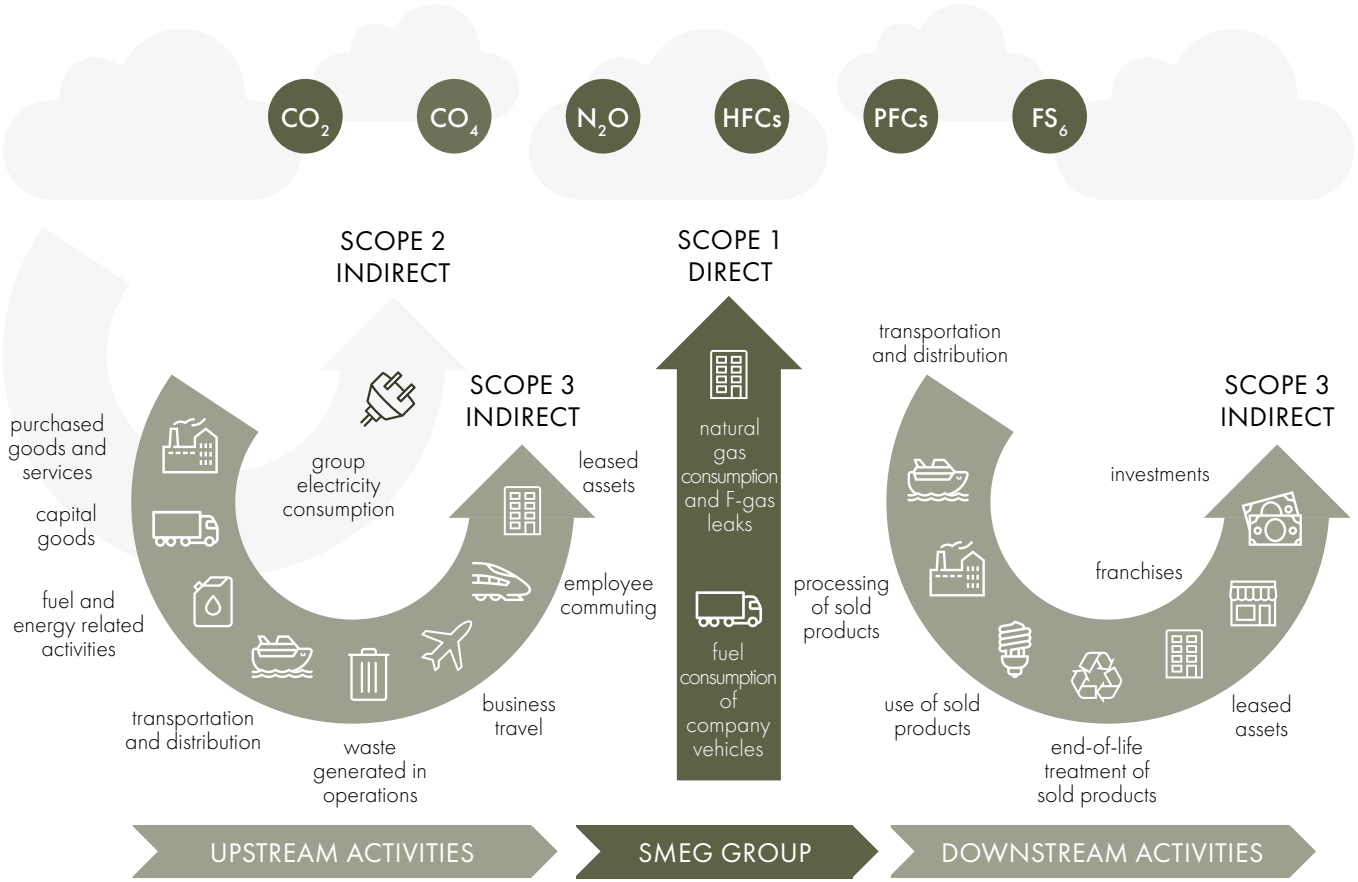
In 2022, participation in the CDP (Climate Disclosure Project) Climate Change questionnaire was reconfirmed. This questionnaire was created with the aim of encouraging companies to improve their awareness of how to manage the risks and opportunities connected to climate change effectively.

The results obtained show an improvement compared to the previous participation, thanks, in part, to the work done to refine the calculation of the direct and indirect GHG emissions generated along the value chain.

From the 2023 edition, we intend to make our responses to the questionnaire public so that stakeholders can be informed about the measures taken and the results achieved.

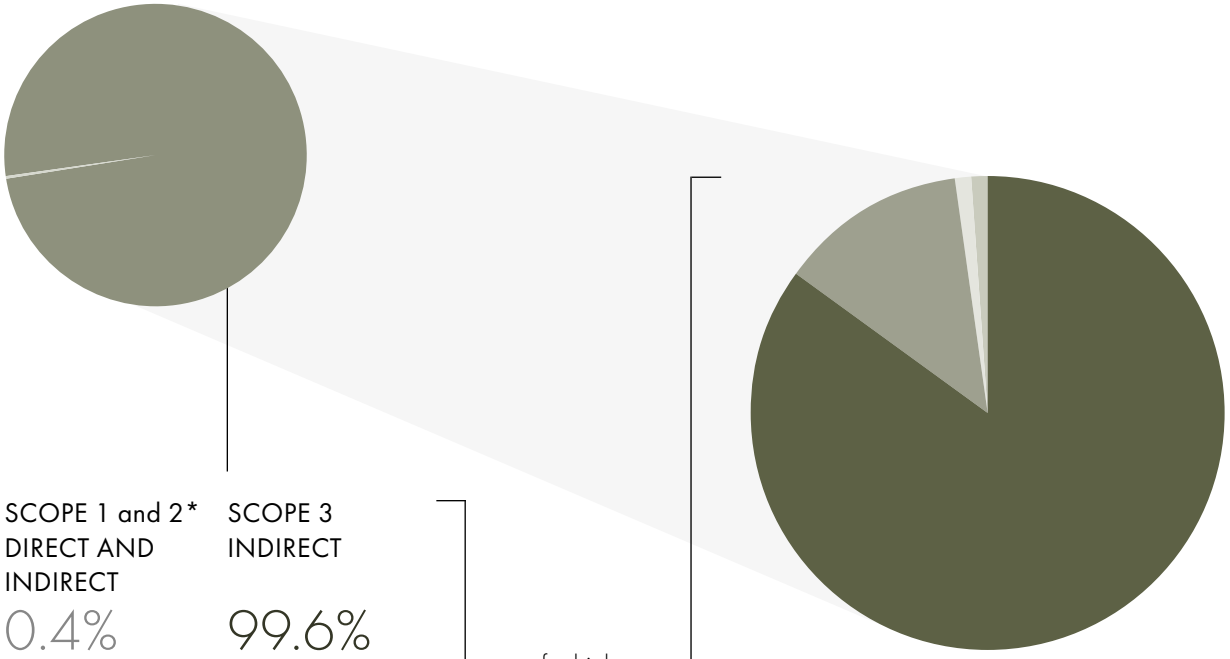


Our commitment to the Environment: from combating climate change to preserving the territory



Our aim is to continuously improve our environmental footprint, monitoring climate-changing gas emissions and working to protect the environment. Through numerous projects, such as the expansion and installation of photovoltaic systems in our facilities, we strive to **reduce direct and indirect emissions**.

EMISSION SOURCES



SCOPE 1 and 2* DIRECT AND INDIRECT

0.4%

equal to **9,587** ton CO_2eq

SCOPE 3 INDIRECT

99.6%

equal to **2,325,798** ton CO_2eq

of which

- **85%** use of sold products
- **13%** goods and services purchased
- **1%** upstream transportation and distribution
- **1%** other

* Location based

INNOVATIVE, SAFE, RESPONSIBLE

Domestic appliances conceived, designed and built to last

We improve our products continuously in order to guarantee ever higher standards of technical performance and sustainability. From the supply of raw materials to their efficient use, from the adoption of cutting-edge technologies to the evolution of design methods, we innovate domestic appliances to meet market expectations and to respond to emerging global needs.

The challenges we are facing

- Sustainability and efficiency in the use of raw materials
- Product safety and quality
- Research and innovation
- Eco-design
- Energy efficiency of products

The goals reached

QUALITY, SAFETY AND CONFORMITY

- More robust Quality Agreements/ Supplier Agreements to better monitor the quality of supplies

PROCUREMENT AND USE OF RAW MATERIALS

- Contact made with suppliers of stainless steel products who use energy from renewable sources
- Progressive replacement of certain plastic components in Small Domestic Appliances with Tritan™ Renew
- Elimination of polyethylene (PE) bags that are not strictly necessary in Small Domestic Appliances
- Replacement, where possible, of polystyrene with cardboard or cellulose pulp made from recycled material

DESIGN AND BEAUTY

- **Class A++ for Galileo ovens:** use of fewer resources and a reduction in products to be disposed of through the integration of three technologies with the platform developed
- Development - for people with a visual impairment - of **accessibility** solutions which are validated by INVAT, the Italian National Institute for the Evaluation of Aids and Technologies (*Istituto Nazionale Valutazione Ausili e Tecnologie*) right from the design phase
- Disassembly and recovery of end-of-life components: studying already at the design stage a design that allows easy disposal of the finished product for reprocessing into second raw material
- **Eco-design** of products (execution of LCA studies on the packaging used for major and small domestic appliances; definition, in collaboration with the Politecnico di Milano, of a manual to design packaging solutions with a low environmental impact)





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